

percentage point. An extra return of 0.4 percent may not sound like much, but over a period of 10 years, a 0.4 percent increase in return on a \$100,000 investment increases the portfolio by more than \$4,000.

Wesley Branch Rickey (December 20, 1881–December 9, 1965) was an innovative major league baseball executive who is best known for helping break baseball's color barrier and creating the framework for the modern minor league system. Rickey once commented, "Baseball is a game of inches." In that same light, asset allocation is a game of *basis points*. A basis point is 0.01 percent return. If you add 10 basis points to your annual return (0.1 percent) without taking more risk, it makes a huge difference in the amount you have in retirement or whatever your goal is. So why not do it?

[Figures 4.6](#) to [4.8](#) illustrate the risk-and-return characteristics of the five-asset-class portfolio versus the two-asset-class portfolio over three different decades. An asset allocation strategy that worked well during one period may not work as well during the next. The series of charts is provided to show that the benefits of asset allocation are often not measurable in the short term. That is why a lot of naysayers say, "It does not work." They lack patience, and they lack vision. They are looking for quick and easy solutions. Multi-asset-class investing requires a long-term commitment. Once you go down this road, it is for life. It is in a way like changing careers.

As illustrated in [Figure 4-6](#), from 1980 to 1989, multi-asset-class investing in international stocks worked beautifully. The strategy generated an extra 0.8 percent in return using the multi-asset-class portfolio and presenting a negligible increase in risk.

The diversification benefit did not help a portfolio between 1990 and 1999, as illustrated in [Figure 4-7](#). The returns were lower using the multi-asset-class portfolio during the period, and the risk was also lower. This is the reason some people started to question the benefit of international investing by the end of that decade.

FIGURE 4-6

Multi-Asset-Class Portfolio versus S&P 500 and Intermediate-Term T-Notes, 1980–1989